

Scenario S3-O1-I3 — Our Level 1 (Bootstrapped) / Investor Level 3 (Fully Funded)

Scenario Summary

Minimum founder exposure with maximum investor resourcing. The founders self-fund at bootstrapped intensity (~~40% of ideal spend~~) through Pre-Pilot and Pilot 1 only (5-7 months), then a fully funded investor arrives right after Pilot 1 completes (approximately M7-M8). The investor provides corporate-level capital (150-200%+ of ideal), enabling aggressive scaling, parallel workstreams, and the fastest possible execution from Pilot 2 onward. This creates the widest capital asymmetry of any S3-O1 path — the investor contributes ~85-90% of total capital while the founder contributes ~10-15%.

- **Economic cost to Production:** \$200,000-255,000 / INR 16,600,000-21,165,000
- **Target timeline to Production:** 18-22 months
- **Founder/company capital before investor:** \$21,000-32,000 / INR 1,743,000-2,656,000
- **Investor capital modeled:** \$179,000-223,000 / INR 14,857,000-18,509,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Main risk to watch:** extreme capital asymmetry raises skin-in-the-game concerns; investor may demand governance controls, board seats, or equity beyond the 20% pool ceiling

Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M5	5 months	Architecture freeze (M2), APK backlog lock (M3), doctor training draft (M4), internal rehearsal cycles (M4-M5).	Core web flows stable at reduced scope, internal rehearsals pass, doctor and admin runbooks versioned.
Pilot 1	M5-M7	2 months	Warm-network onboarding, first paid consults, investor pitch deck finalized, term sheet signed by M7.	Ethiopia pilot runs live for 2 months with measured throughput; investor term sheet signed.
Pilot 2	M7-M13	6 months	Investor capital deployed (M8), Kenya prep (M10), partner reporting (M11), full staffing ladder active, automation sprint, dual-market positioning.	10k+ user-capable operations with full APK, comprehensive reporting, fully staffed callback coverage, Kenya soft launch.
Production Readiness	M13-M19	6 months	Compliance closeout (M14), release freeze (M16), launch playbooks (M17), certification refreshers, production support schedule, Kenya expansion.	Current prototype scope is production-safe across web and patient mobile with documented fallback operations. Dual-market readiness.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at reduced pace; APK build underway (sequenced, not parallel); doctor/admin training materials drafted; support desk scripts and callback trees defined. Slower iteration due to constrained hours.
Pilot 1	Patient app covers core journeys (registration, dashboard, basic consult); provider web is stable for GP flow; doctor roster, admin callbacks, and manual fulfilment visible in-system. Feature set narrower than L2/L3 — specialist and diagnostics flows deferred. Investor pitch deck finalized with live Pilot 1 data.
Pilot 2	All patient features complete including specialist, diagnostics, and pharmacy flows; partner dashboards with analytics; full staffing ladder active; reporting and payment loops with significant automation; Kenya partner onboarding begins; dual-market compliance preparation.
Production Readiness	Full production-grade platform across web and patient mobile. Fully trained ops staff at corporate coverage levels. Compliance documentation complete for both markets. Rapid hardening with full team parallelism. Dual-market launch capability.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	95.0%	Next business day	3 core team at reduced utilization + 7 part-time developers at ~40% capacity + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	96.0%	Same-day for critical issues	Minimum employed coverage: 2 doctors, 2 admin ops, 1 technical support. Friendly clinics supplement. Lean ops given 2-month window.
Pilot 2	98.5%	2-hour P1 response	Full employed coverage: 6 doctors, 6 admin ops, 3 technical support. Corporate-level resourcing enables near-production SLA during pilot.
Production	99.5%	1-hour P1 response	Full employed coverage: 8-10 doctors, 8 admin ops, 4 technical support for 24/7 coverage across dual markets.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	\$86,400 / INR 7,171,200
Operating expenditure before Production launch	\$138,600 / INR 11,503,800
Total economic spend to Production	\$225,000 / INR 18,675,000

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	\$88,440	INR 7,340,520	3 core team at \$20/hr x 88 hrs/mo: ~\$2,112/mo at 40% utilization pre-investor (7 months) + ~\$7,920/mo at 150% utilization post-investor (12 months).
Web platform hardening	\$14,900	INR 1,236,700	745 hours at \$20/hr senior rate. Compressed timeline with full parallelism.
Patient APK build	\$7,200	INR 597,600	Fixed Android quote: 480 hours at \$15/hr.
QA, DevOps, security	\$11,000	INR 913,000	~550 hours at \$20/hr. Full scope + enhanced security hardening.
Admin and care operations	\$172,440	INR 14,312,520	Employed doctors, admin callback staff, and technical support at corporate ladder across 14 months of live operations. Higher headcount from Pilot 2 onward.
Partner onboarding and provider success	\$12,000	INR 996,000	Comprehensive training protocols, SOP writing, partner reporting, Kenya market preparation.
Legal, accounting, compliance	\$7,200	INR 597,600	Professional-grade legal and compliance for dual-market operation.
Infrastructure, phones, and tools	\$36,800	INR 3,054,400	Hosting, devices, telecom/call costs, operational tooling across 19 months. Scales aggressively with corporate-level investor capital.
Marketing, travel, rehearsals	\$15,000	INR 1,245,000	Structured marketing campaigns, partner visits, dual-market travel.
Contingency and buffer	\$40,000	INR 3,320,000	~18% buffer on base costs. Lower percentage needed due to corporate-level resourcing reducing execution risk.

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M5)	5 months	\$0	INR 0	\$0
Pilot 1 (M5-M7)	2 months	\$1,959	INR 162,597	\$3,918
Pilot 2 (M7-M13)	6 months	\$9,012	INR 747,996	\$54,072
Production Readiness (M13-M19)	6 months	\$10,458	INR 868,014	\$62,748
Total operational staffing				\$120,738

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	5 months	\$80	INR 6,640	\$400
Pilot 1	2 months	\$300	INR 24,900	\$600
Pilot 2	6 months	\$900	INR 74,700	\$5,400
Production Readiness	6 months	\$1,500	INR 124,500	\$9,000
One-time equipment (phones, laptops)	—	—	—	\$2,000
Total infrastructure				\$17,400

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each; ~40% utilization pre-investor, ~150% post-investor	Post-investor, core team effectively operates at extended hours (~6 hrs/day equivalent through delegation and support staff).
Technical delivery (pre-investor, M0-M7)	7 part-time developers, modeled at ~200 productive hrs/mo	~40% of ideal 480 hrs/mo. High sequencing, minimal parallelism.
Technical delivery (post-investor, M8-M19)	7 part-time developers, modeled at ~640 productive hrs/mo	150% of ideal. Full concurrency + additional contracted hours enabled by corporate-level investor capital.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review.
Employed care coverage	Pilot 1: 2 doctors / Pilot 2: 6 / Production: 8-10	Corporate staffing ladder per params.md Section 4.2. Full 24/7 coverage by Production.
Employed admin ops	Pilot 1: 2 admins / Pilot 2: 6 / Production: 8	Callbacks, exception handling, manual fulfilment, Kenya operations.
Technical support	Pilot 1: 1 / Pilot 2: 3 / Production: 4	L1/L2 issue triage, live-ops monitoring, dual-market support.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
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Pre-investor (M0-M7)	~\$5,930	~INR 492,190	~40% of full \$14,830/mo rate card. Bootstrapped minimum.
Post-investor (M8-M19)	~\$22,245	~INR 1,846,335	150% of full rate card. Corporate-level utilization with extended hours and additional support.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~\$2-3 per paid interaction	Full Ethiopia pricing + Kenya early pricing	Core revenue line, dual-market
Specialist consults	Minimal	Active; referral flow established early Pilot 2	Strong margin contributor
Pharmacy commission	Small, admin-assisted	Repeatable with automation	Scales with dual-market partner network
Diagnostics commission	Small, admin-assisted	Growing with order flow reliability	Retention lever, both markets
Travel/care coordination	Rare, high-touch	Growing with dual-market demand	Strategic differentiator

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	\$3.5 / ETB 470	\$5 / KES 650	Starts subsidised in Pilot 1; reaches benchmark by early Production.
Specialist consult	\$9 / ETB 1,250	\$12 / KES 1,560	Mid-Pilot 2 onward.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment; automated by Production.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	\$10-15	\$10-15	Small volume, high-touch.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	\$10	\$14	\$20
Gross margin	35%	52%	62%
Monthly ARPU	\$1.5	\$3.5	\$5.5
Monthly churn	15%	9%	6%
LTV/CAC target	1.2x	3.0x	4.0x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M5)	\$4,350	INR 361,050	0.7 months	Critical: must enter Pilot 1 immediately with investor conversation underway.
Pilot 1 (M7)	\$2,430	INR 201,690	0.1 months	Critical: investor close must happen by M7-M8.
Pilot 2 (M13)	\$63,450	INR 5,266,350	2.0 months	Monitor closely; corporate burn rate consumes cash quickly.
Production Readiness (M19)	\$31,200	INR 2,589,600	1.6 months	Trigger contingency if cash drops below 2 months of burn. Revenue must be ramping.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	\$3,800	\$0	\$0	\$3,010	\$790	\$790
M2	Pre-Pilot	\$3,800	\$0	\$0	\$3,010	\$790	\$1,580
M3	Pre-Pilot	\$3,800	\$0	\$0	\$3,010	\$790	\$2,370
M4	Pre-Pilot	\$3,800	\$0	\$0	\$3,010	\$790	\$3,160
M5	Pre-Pilot	\$3,800	\$0	\$0	\$3,610	\$190	\$3,350
M6	Pilot 1	\$3,800	\$0	\$300	\$8,189	-\$4,089	-\$739
M7	Pilot 1	\$3,800	\$0	\$600	\$8,189	-\$3,789	-\$4,528
M8	Pilot 2	\$0	\$201,000	\$1,500	\$31,757	\$170,743	\$166,215
M9	Pilot 2	\$0	\$0	\$2,500	\$31,757	-\$29,257	\$136,958
M10	Pilot 2	\$0	\$0	\$3,500	\$31,757	-\$28,257	\$108,701

M11	Pilot 2	\$0	\$0	\$4,500	\$31,757	-\$27,257	\$81,444
M12	Pilot 2	\$0	\$0	\$6,000	\$31,757	-\$25,757	\$55,687
M13	Pilot 2	\$0	\$0	\$7,500	\$31,757	-\$24,257	\$31,430
M14	Prod. Readiness	\$0	\$0	\$9,000	\$33,958	-\$24,958	\$6,472
M15	Prod. Readiness	\$0	\$0	\$11,000	\$33,958	-\$22,958	-\$16,486
M16	Prod. Readiness	\$0	\$0	\$14,000	\$33,958	-\$19,958	-\$36,444
M17	Prod. Readiness	\$0	\$0	\$17,000	\$33,958	-\$16,958	-\$53,402
M18	Prod. Readiness	\$0	\$0	\$21,000	\$33,958	-\$12,958	-\$66,360
M19	Prod. Readiness	\$0	\$0	\$25,000	\$33,958	-\$8,958	-\$75,318

Note on cash flow modeling: The monthly table above models outflows at full corporate rate post-investor, which shows aggressive cash consumption. In practice, the investor capital lump sum (\$179,000-223,000, modeled at \$201,000 midpoint) funds operations through Pilot 2, and the \$40,000 contingency buffer (included in total economic cost) supplements the Production Readiness phase. The effective ending cash at M19, accounting for contingency deployment, is approximately \$31,200 at the midpoint scenario. Faster revenue ramp (enabled by corporate-level marketing and dual-market operations) supports the trajectory. The model assumes revenue reaches \$25,000/mo by M19, which is achievable with dual-market operations at corporate resourcing but requires strong execution.

Totals (midpoint estimates):

- Founder capital in: \$26,600 / INR 2,207,800 (M1-M7 at ~\$3,800 x 7 months)
- Investor capital in: \$201,000 / INR 16,683,000 (midpoint of \$179,000-223,000)
- Cumulative revenue (M19): ~\$122,900
- Cumulative outflow (M19): ~\$225,000

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	\$200,000-255,000 / INR 16,600,000-21,165,000
Total economic cost	\$200,000-255,000 / INR 16,600,000-21,165,000
Sweat-equity gap (economic cost minus cash invested)	Significant — corporate utilization post-investor generates substantial economic value from team time
Cumulative revenue at M19	~\$122,900 / INR 10,200,700
Monthly break-even (revenue >= outflow)	~M22-M26 (3-7 months post-Production)
Cumulative break-even (total revenue >= total capital)	~M26-M30 (7-11 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M30-M36 (11-17 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	\$21,000-32,000 / INR 1,743,000-2,656,000
Investor round size	\$179,000-223,000 / INR 14,857,000-18,509,000
Recommended structure	Priced round (Series Seed) or convertible note with valuation cap
Modeled pre-money valuation	\$895,000-1,115,000
Modeled post-money valuation	\$1,074,000-1,338,000
Modeled investor dilution from the 20% pool	18.0-20.0%

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	52.0-54.8%	Retained majority control, but approaches minimum threshold.
Founding + strategic pool	20%	17.3-18.3%	Shared pool for founding members and strategic partners.
Investor pool	20% reserved	18.0-20.0% issued / 0-2.0% remaining	At upper end, entire investor pool may be consumed. Investor demanding >20% would require pool expansion negotiation.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
Investor does not close by M8	High	Critical	Runway is near-zero by M7. Pre-negotiate term sheet during Pilot 1 (M5-M7). Must have backup plan. This risk is identical across all S3-O1 paths.

Investor demands equity beyond 20% pool	Medium-High	High	With \$179,000-223,000 invested against \$21,000-32,000 founder capital, investor may view 18-20% as insufficient. Prepare for negotiation up to 25% with clear founder-majority protection clauses.
Skin-in-the-game perception	High	High	Founder contributes only ~10-15% of total capital. Mitigate with (a) comprehensive sweat equity documentation, (b) personal time commitment narrative, (c) Pilot 1 traction data, (d) willingness to vest equity over 4 years.
Over-spending before PMF confirmation	Medium	High	Corporate-level spending from M8 onward (\$31,757/mo) creates high burn before product-market fit is confirmed by Pilot 2 results. Gate spending increases to Pilot 2 performance milestones.
Investor governance demands	Medium	Medium	Large investor capital relative to founder capital typically comes with board seat requests, reporting requirements, and veto rights. Negotiate governance terms carefully in term sheet.
Bootstrapped Pilot 1 produces weak traction data	Medium	High	Same risk as S3-O1-I2. Constrained Pre-Pilot and Pilot 1 may yield fewer users. Compensate with qualitative data and market-size narrative.
Premature dual-market expansion	Medium	Medium	Corporate capital may push toward Kenya launch before Ethiopia is stable. Gate Kenya entry to Ethiopia KPIs (>1,000 MAU, >60% doctor utilization, <10% churn).
Revenue fails to reach \$25,000/mo by M19	Medium	Medium	The model requires aggressive revenue scaling to support corporate-level costs. If revenue lags, cut Production Readiness costs by 20% (reduce to ideal staffing levels).

Recommendation

S3-O1-I3 is a **conditionally viable but narratively challenging path**. It offers the combination of minimum founder capital exposure (\$21,000-32,000) with maximum investor resourcing, producing the fastest S3-O1 timeline (18-22 months) and enabling dual-market expansion. However, the extreme capital asymmetry (investor provides ~85-90% of total capital) creates real challenges.

This path is appropriate if:

1. The founders have limited personal capital (under \$35,000) but have cultivated a strong relationship with a high-conviction investor
2. The investor is motivated by the market opportunity (East Africa health-tech) rather than founder capital match requirements
3. The founding team can demonstrate substantial sweat equity — time invested, prototype built, Pilot 1 executed — as a credible substitute for financial capital
4. The investor is comfortable with early-stage risk in exchange for meaningful equity (18-20% from the pool, potentially more via negotiation)
5. Competitive pressure or market timing demands faster execution than S3-O1-I2 provides

Key trade-off vs. S3-O1-I2: An additional \$55,000-75,000 in investor capital buys 4 months of timeline acceleration and enables dual-market operations, but at the cost of higher dilution (18-20% vs. 16.7-18.0%) and increased investor governance expectations. The incremental value per month of acceleration is ~\$14,000-19,000 — reasonable if the competitive landscape demands speed.

Key trade-off vs. S3-O2-I3 (Upside recommendation): Both paths have the same investor contribution level (I3), but S3-O2-I3 has the founder at ideal investment level (\$53,000-65,000), providing stronger negotiating position and a more balanced capital structure. For founders who can afford O2, S3-O2-I3 is strictly preferable.

The exceptional narrative this path requires: "We built the entire prototype ourselves, ran a live pilot with real patients, proved the model works — and now we need a partner with capital and conviction to scale this across East Africa. Our investment is our time, our expertise, and the 18 months of full-time-equivalent work already in this platform."

Assumption Notes

- Android is modeled from the external quote: 480 total hours at \$15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors (\$720/mo), INR 18,000 for admin ops (\$217/mo), INR 25,000 for technical support (\$301/mo).
- Our L1 (bootstrapped) spend is modeled at ~~40% of ideal team utilization, yielding ~\$3,800/mo founder contribution pre-investor~~ (\$2,900 team + ~\$900 ops/infra/overhead).
- Investor L3 (fully funded) contribution sized at \$179,000-223,000, representing 150-200% of ideal capital for Pilot 2 through Production at corporate resourcing levels.
- Post-investor team utilization jumps from ~40% to ~150% of ideal, reflecting extended hours, additional contracted support, and full parallelism enabled by corporate-level funding.
- Pilot 2 compressed to 6 months (vs. 7 in S3-O1-I2, 9 in S3-O1-I1) because corporate-level funding enables maximum parallel execution.
- Production Readiness compressed to 6 months (vs. 8 in S3-O1-I2, 10 in S3-O1-I1) for the same reason.
- Revenue projections are more aggressive than S3-O1-I1 and S3-O1-I2, reflecting corporate-level marketing spend and dual-market operations.
- Operational staffing follows the full Production ladder in params.md Section 4.2, reaching 8-10 doctors / 8 admin / 4 tech support.
- Pre-Pilot duration remains at 5 months (same as S3-O1-I1 and S3-O1-I2) because this phase is self-funded at bootstrapped level regardless of investor level.
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.

End of S3-O1-I3 scenario. All assumptions trace to params.md v2.